

Community Impact Organization - 2026-HHS-042 Audit Report

Executive Summary

This audit report summarizes the findings of our review of the Community Impact Organization's (CI) compliance with 2 CFR 200 federal grant requirements for the 2026-HHS-042 grant. The audit was conducted on May 16, 2026.

The total allowable costs were \$0.00, and the total unallowable costs were \$0.00. Ten line items required review due to potential non-compliance with federal regulations.

Detailed Findings Table

No | Description | Amount | Category | [Status] | Reg: Citation | Reasoning | ML Confidence

1	Flight to Washington DC conference	\$487.50	travel	REQUIRES_REVIEW	2 CFR 200.474 and Grant Section 3	The flight to Washington DC conference is directly related to the performance of conf=0.00	
2	Hotel 3 nights - Marriott DC	\$675.00	travel	REQUIRES_REVIEW	2 CFR 200.474 and Grant Section 3	Hotel stay is directly related to the performance of a Federal award for communi conf=0.00	
3	Conference registration fee National Nonprofit Conferen	\$350.00	professional	ALLOWABLE	2 CFR 200.432	Conference registration fee is allowable under 2 CFR 200.432 as costs of meeting conf=0.00	
4	Team dinner with alcohol	\$312.00	food	REQUIRES_REVIEW	2 CFR 200.423 and Grant Section 7.Unallowable Costs	The grant agreement explicitly states that alcoholic beverages are unallowable u conf=0.00	
5	Office supplies - paper toner binder	\$143.75	supplies	REQUIRES_REVIEW	2 CFR 200.453	Office supplies - paper toner binder are materials and supplies used for the per conf=0.05	
6	Staff salary - program coordinator March	\$3,200.00	personnel	REQUIRES_REVIEW	2 CFR 200.420(1) and 2 CFR 200.420(4)	The staff salary is necessary and reasonable for the performance of the grant, a conf=0.06	
7	Laptop for grant project	\$1,149.99	equipment	REQUIRES_REVIEW	2 CFR 200.453	The laptop is an essential computing device for the grant project, and its cost conf=0.09	
8	Mileage reimbursement 120 miles at 0.67	\$80.40	travel	REQUIRES_REVIEW	2 CFR 200.474 and 2 CFR 200.420	Mileage reimbursement is directly related to travel, necessary for the performan conf=0.01	
9	Lobbying meeting with state legislators	\$500.00	professional	REQUIRES_REVIEW	2 CFR 200.451 and 2 CFR 200.423	The expense line item for lobbying meeting with state legislators is explicitly conf=0.04	
10	Indirect overhead allocation March	\$620.00	indirect	REQUIRES_REVIEW	2 CFR 200.420 and Grant Section 2	The indirect overhead allocation is allocable, necessary, and reasonable for the conf=0.06	

Flagged/Unallowable Items

The following items were identified as unallowable or require review:

- Team dinner with alcohol (Grant Section 7.Unallowable Costs)
- Lobbying meeting with state legislators (2 CFR 200.451 and 2 CFR 200.423)

Remediation steps for these items are as follows:

- Team dinner with alcohol: Ensure that all meals, including team dinners, comply with the grant agreement's requirements regarding food and beverage expenses.
- Lobbying meeting with state legislators: Review the purpose of the lobbying meeting and ensure that it is in compliance with 2 CFR 200.451 and 2 CFR 200.423.

Actionable Recommendations

1. Ensure that all travel expenses, including flights and hotel stays, are directly related to the performance of the grant.
2. Verify that conference registration fees comply with 2 CFR 200.432.
3. Review the purpose of lobbying meetings with state legislators and ensure compliance with 2 CFR 200.451 and 2 CFR 200.423.
4. Ensure that indirect overhead allocations are allocable, necessary, and reasonable for the grant project.

By addressing these findings and recommendations, the Community Impact Organization can ensure compliance with federal regulations and maximize the impact of their grant funding.